

NVIDIA Corporation

NVDA NASDAQ

Buy	\$222.26 ▲ 1.49%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.38T
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NVDA: China Chip Thaw Meets AI Capex Boom

WHAT HAPPENED

- NVDA up another 1.5% to \$222, now sitting at 80% of its 52-week range — the stock has ripped ~8% in a week on no company-specific news, which tells you this is a sentiment/flows move, not a fundamentals move. Tech sector up 7% in 5 days confirms it's an "everyone's buying AI again" tape.
- AMD bought Taalas (AI chip startup) — headlines frame it as competition for NVDA, but honestly, buying a tiny startup doesn't close a two-year CUDA software moat. The market seems to agree since NVDA is still up.

WHY IT MATTERS

Here's what to actually think about: the run from \$206 to \$222 in four sessions happened on rising volume until today's suspiciously light 11.7M shares — that thin tape into new highs often precedes a pullback, so don't chase here. The options flow is telling you something interesting: put/call ratio at 0.45 looks bullish on the surface (lots more calls than puts), but the unusual activity is in PUTS at \$227.50 and \$237.50 — someone big is buying insurance against a drop right at these levels, likely hedging into earnings season. The bigger picture: NVDA now has a \$5.38 TRILLION market cap, which means it needs the entire AI capex cycle to keep accelerating just to justify today's price, let alone go higher. What saves the story is that hyperscaler capex guidance (Microsoft, Meta, Google, Amazon) keeps going UP each quarter, not down.

POLICY & POLITICAL WATCH

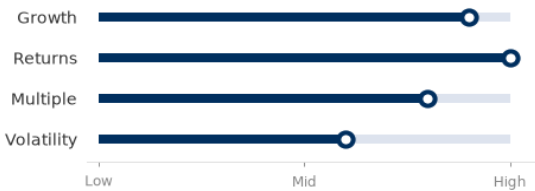
The single biggest policy tailwind right now is the Trump administration's July decision to let NVIDIA resume H20 chip exports to China in exchange for a 15% revenue cut to the US government — that's a weird deal (basically a private-sector tariff) but it reopens a \$15-20B market that was zeroed out. Watch for Congressional pushback: some China hawks in the Senate are drafting legislation to override the executive action, and if that gains traction it's an immediate negative catalyst. Also on the radar: the CHIPS Act 2.0 discussions and any AI Diffusion Rule updates — the current administration has been friendlier to US chip champions than expected, which is a structural tailwind most people are underestimating.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$222.26
12M Price Target	\$260.00
Upside / (Downside)	+17.0%
Market Cap	\$5.38T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.80
Fwd P/E	49.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$228.00	\$205.00
6 Months	\$265.00	\$245.00	\$190.00
1 Year	\$300.00	\$260.00	\$175.00
2 Years	\$380.00	\$310.00	\$160.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+7% in 5 days) leading everything — this is a classic risk-on rotation, likely driven by expectations of Fed easing plus continued AI narrative dominance. Consumer Discretionary also strong (+2.9%), suggesting the market believes the consumer is fine.

COOLING OFF: Healthcare (-0.15% today) continues to lag — drug pricing pressure and MFN (Most Favored Nation) executive order overhang keeps money out of the sector.

ROTATION WATCH: Money is flowing INTO high-beta AI/tech and out of defensives — this is a "greed" tape, not "fear." When Tech runs 7% in a week while Real Estate goes negative, that tells you investors want growth, not yield.

RELATED PLAY: Data center power and cooling — companies like Vertiv (VRT), Eaton (ETN), and the nuclear names (VST, CEG) are the second-derivative winners. If NVDA chips are selling, someone has to power and cool them.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom ASIC partner for Google TPUs and other hyperscalers — winning the "not-NVDA" AI trade.
- AMD (Advanced Micro Devices): MI350 ramp is real, and the Taalas acquisition suggests they're serious about closing the gap.

NVDA CONTEXT: NVDA is basically in-line with the semi group over the last week — not leading, not lagging. That's actually healthy: it means this rally isn't just an NVDA-specific squeeze, it's a broader semi/AI capex rerating. If NVDA were the only one running, I'd be more nervous.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$210-215 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth drops below 20% YoY or China export ban reimposed

Hedging: Buy Aug \$210 puts or pair with short SMH (semi ETF) on excess froth